Wapic Insurance Plc.

FY 2015 Financial Results
Presentation to Investors & Analysts

March 22, 2016

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Presenters

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Strategy & Investor Relations

Ready... Set...

MOOV

Protect your vehicle
the right way.

Speaker Topics

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

2016 Outlook

Our philosophy

Our Vision

To transform and illuminate the insurance industry for the benefit of our customers and other stakeholders

Our Mission

To lead in all that is worthy

Core Values

1. Empathy
2. Leadership
3. Excellence
4. Innovation
5. Teamwork
6. Sustainability
7. Professionalism

At a glance

3 Operating Entities (Nigeria & Ghana)

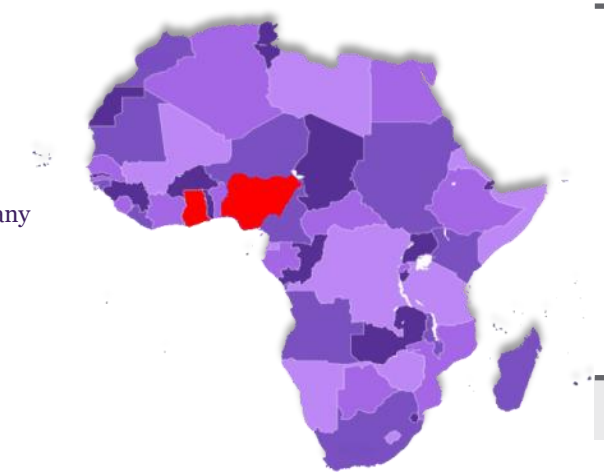
6 Regional offices (Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

154 Professional Staff

13.4 Billion Ordinary shares of 50 kobo each in issue

WAPIC Insurance Plc (Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Company	• Wapic Insurance Plc. is licensed by the National Insurance Commission (NAICOM) to write general insurance business. • The Company underwrites life insurance business through its wholly owned Nigerian subsidiary, Wapic Life Assurance Limited. It also operates a general business in Ghana under the name Wapic Insurance (Ghana) Limited. In addition, Wapic has an Associated Company, Coronation Merchant Bank (Nigeria) Ltd.
Presence	• Nigeria and Ghana
Listings	• Nigerian Stock Exchange
Rating (AM Best)	• B- (Financial Strength Rating/Stable Outlook) • bb- (Issuer Credit Rating/Stable Outlook)
Actuaries	H R Nigeria Limited; ALEXANDERFORBES
Re-insurers	Munich RE; AFRICA RE; CONTINENTAL REINSURANCE; WAICA RE; Ghana Re; Nigeria Reinsurance Corporation
Auditors	• PwC

Income Statement, NGN mn	2014	2015
Gross Premium	5,204	7,101
Total Underwriting Profit/ (Loss)	1,316	1,478
Investment Income	1,455	1,376
PBT	59	1,668

Balance Sheet, NGN mn	2014	2015
Investments	12,842	10,232
Cash	5,173	7,054
Total Assets	22,059	23,695
Total Liabilities	7,858	8,732
Shareholders Equity	14,201	14,962

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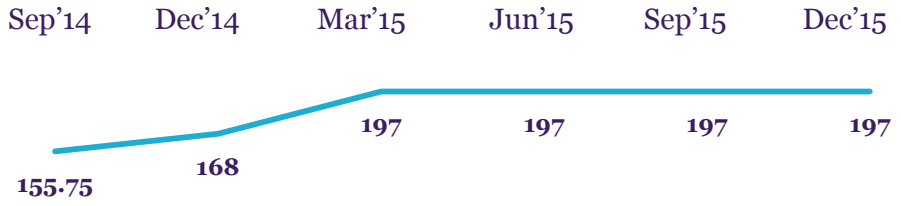
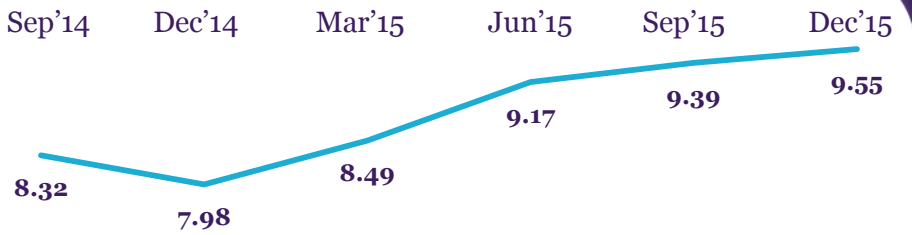
Operating environment

FX Rate N/$



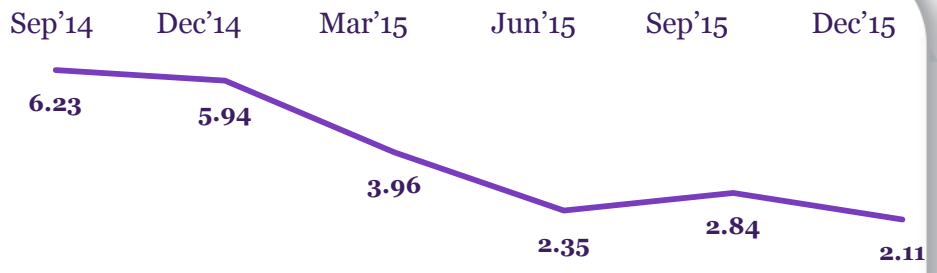
The official exchange rate remained at N197/$ although the variance between the official and parallel rates grew wider, falling to N264/$ at the end of the Q4 2015.
The CBN imposed several foreign exchange restrictions to ease the pressure on the Naira in the face of dwindling oil revenue.

Inflation



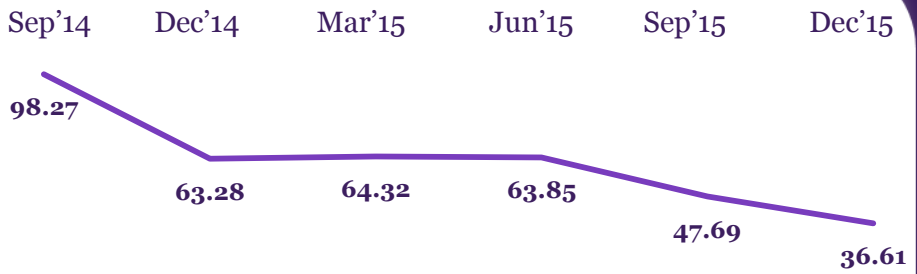
Headline inflation rose to 9.55% y/y from 9.39% at the end of Q3. this was largely driven by increases in food and transportation components of the index. Transportation prices significantly impacted inflation in Q4 because of the intermittent PMS supply shortages.

GDP Growth (%)



GDP growth rate fell to 2.11% in Q4 2015 from 2.84% in the previous quarter. Following the global decline in oil prices, the contribution of the oil sector to the nation's GDP has steadily declined.

Crude Oil $/barrel



Oil price down to $36.61 per barrel in Q4 2015, continuing the downward trend of global oil prices since 2014. The fall in oil prices has been generally attributed to the refusal of Saudi Arabia to control supply in the face of increased exploration of shale oil and the reentry of Iran into the oil market following the lifting of sanctions. The combined effect of which resulted in a glut.

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Regulatory environment

NAICOM commenced the implementation of a Risk-Based Supervision (RBS) model in the insurance industry. The RBS approach considers the risks companies face and identifies those that are most critical to the financial viability of the company through a structured process.

NAICOM announced the commencement of the implementation of the Corporate Governance code for the insurance industry. The Corporate Governance code which was first released in 2009 seeks to establish proper structure and excellent corporate governance in the insurance industry.

PENCOM established a special unit to drive the micro pension scheme. The scheme targets three broad categories: low income earners, high income earners & SMEs. PENCOM is to ensure a robust technological platform including the development of a mobile phone app to drive the implementation of the initiative.

CBN lifted the ban on FX cash deposits and discontinued its dollar sales to Bureau de Change in a bid to protect the country's dwindling reserves.
Despite calls from proponents of devaluation, CBN has maintained its stance not to devalue the Naira.

NAICOM partners with Federal Mortgage Bank of Nigeria (FMBN) to ensure that all mortgages were properly insured as well as enforcing compliance with Section 5(2) of the National Housing Fund (NHF) Act which prescribes that a minimum of 20% of non-life funds and 40% of life-funds in investments by insurance firms in real property development.

Ghana's National Insurance Commission (NIC) announced that it would begin enforcing a risk-based solvency framework effective January 2016 to ensure consumer protection. According to the commission, the enforcement of the framework is to ensure that insurance companies keep adequate capital and make technical provisions to meet their liabilities, and also improve their service delivery

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		2015	2014		%Δ
Profitability	Gross Written Premium	7,101	5,204	↑	+36
	Net Underwriting Income	4,370	3,160	↑	+38
	Total Underwriting Expenses	2,893	1,845	↑	+57
	Underwriting profit	1,478	1,316	↑	+12
	Net Investment & Other Income	2,894	1,817	↑	+59
	Expenses & Provisions	3,468	3,074	↑	+13
	Profit before Tax	1,668	59	↑	+2747
	OPEX ratio	49%	59%		-17
	Net claims ratio	41%	35%	↑	+18

		2015	2014		%Δ
Financial Position	Reinsurance Assets	923	668	↑	+38
	Financial Assets	4,317	8,786	↓	-51
	Total Assets	23,695	22,058	↑	+7
	Total Liabilities	8,732	7,858	↑	+11
	Shareholders Funds	14,962	14,200	↑	+5
	Solvency ratio	250%	171%	↑	+46
	ROA	7.0%	0.3%	↑	+2550
	ROE	8.7%	1.7%	↑	+420

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Income statement review

NGN million

	2015	2014	%Δ
Gross Written Premium	7,101	5,204	+36
Reinsurance expenses	2,208	1,876	+18
Net claims expenses	1,635	998	+64
Underwriting expenses	1,229	961	+28
Underwriting profit	1,478	1,316	+12
Investment income	1,376	1,455	-5
Other operating income	391	370	+6
Operating expenses	3,468	3,074	+13
Profit before tax	1,668	59	2747

Highlights

- Gross written premium increased by 36% y/y to N7.1bn in FY 2015. A sizeable improvement from the prior year's position of N5.2bn. This validates the company's investment in innovative and market driven products.
- Reinsurance expenses grew by 18% in line with the growth in gross written premium.
- Increase in Net Claims Expenses is largely driven by the need to maintain an adequate IBNR reserve.
- The marginal reduction in Investment Income was largely due to short-term losses arising from the divestment of low-yielding investment properties.
- Operating expenses increased by 13%, in line with our investments in prioritized products and market penetration for topline growth.
- PBT grew by 2747% on the strength of the growth in GWP, underwriting profit and returns from strategic investment.

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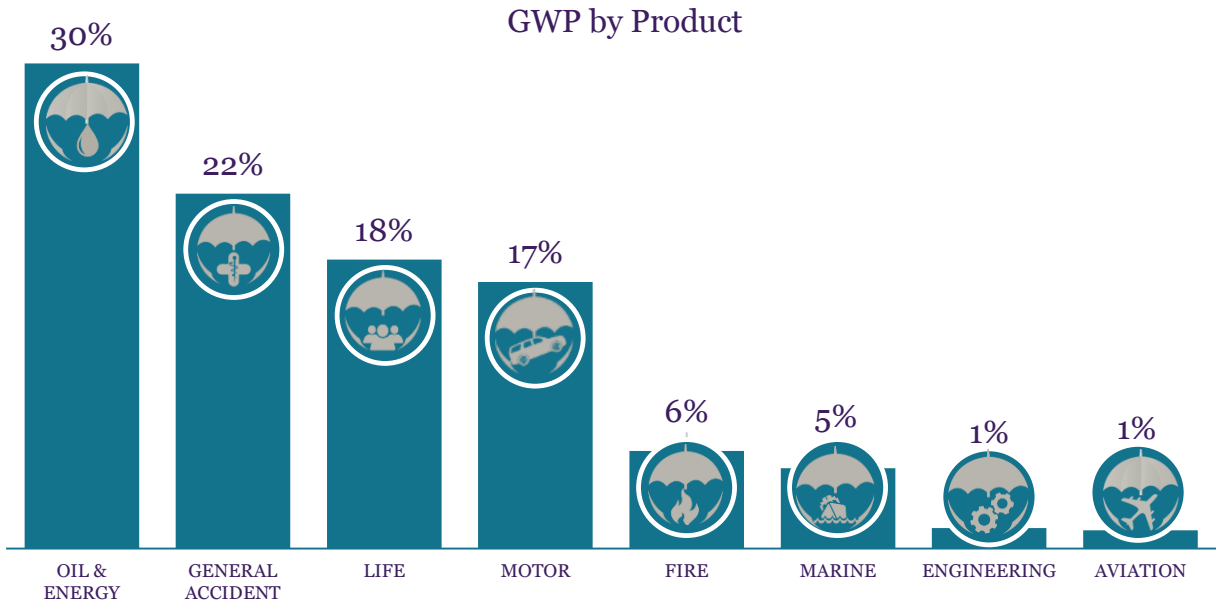
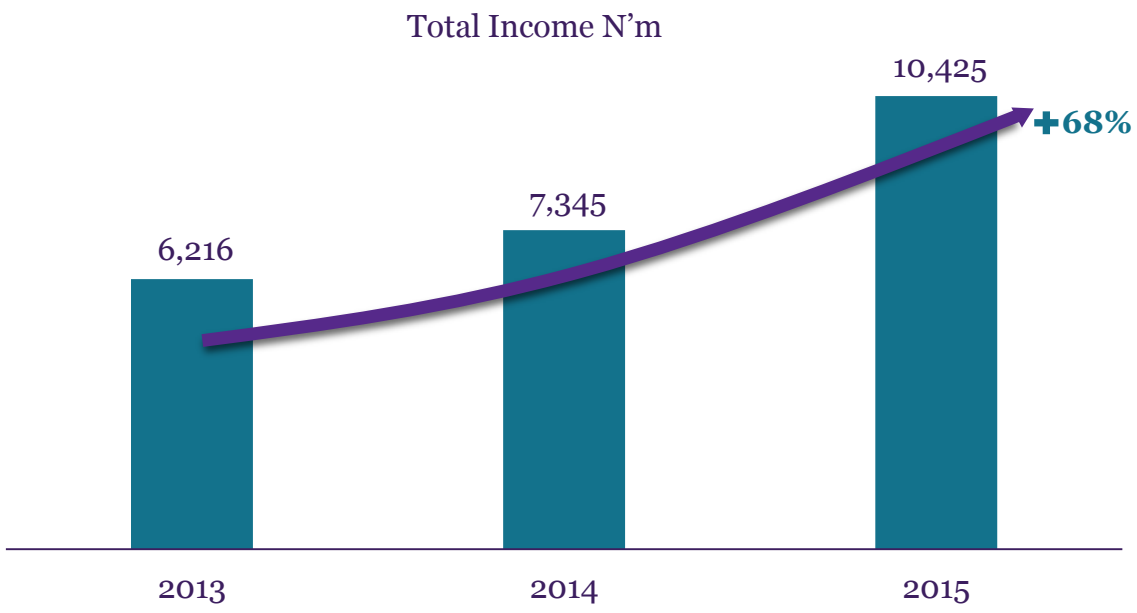
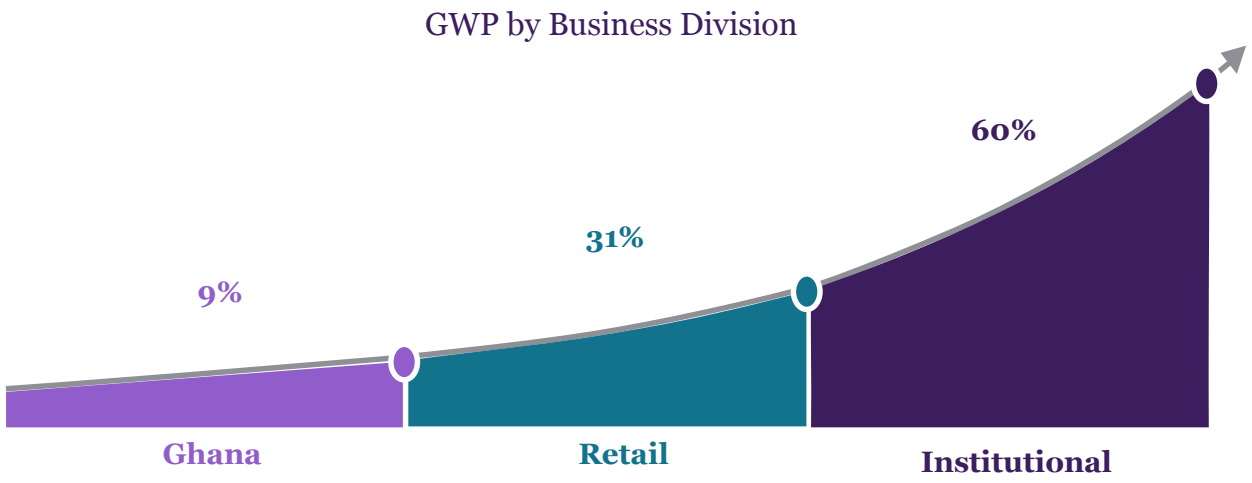
Revenue







Highlights

- Total income grew by 68% to N10.4bn in FY2015 from N6.2bn in 2013.
- Oil and energy is the top performer for the period at 30%, followed by general accident and life at 22% and 18% respectively.
- Contributions from Engineering and Aviation are the lowest for the period.
- Institutional Clients Group is the largest contributor to the Group's GWP in 2015 at 60%.
- Wapic Ghana's GWP grew by 33% y/y in real terms; however, continued FX headwinds adversely impacted its contribution to the Group figures.

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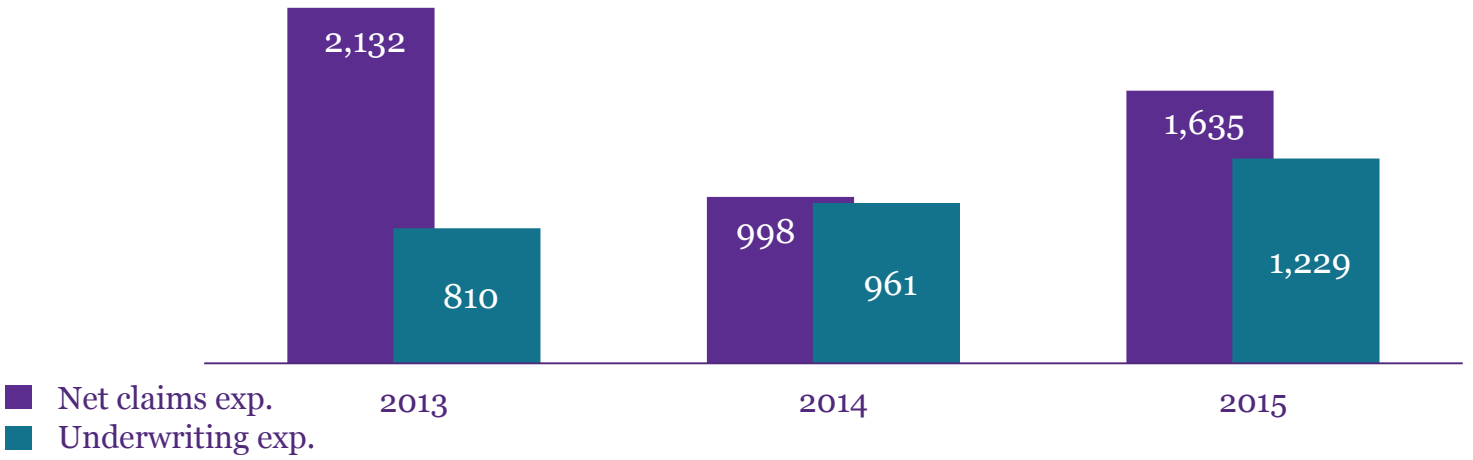
Group expenses

NGN million

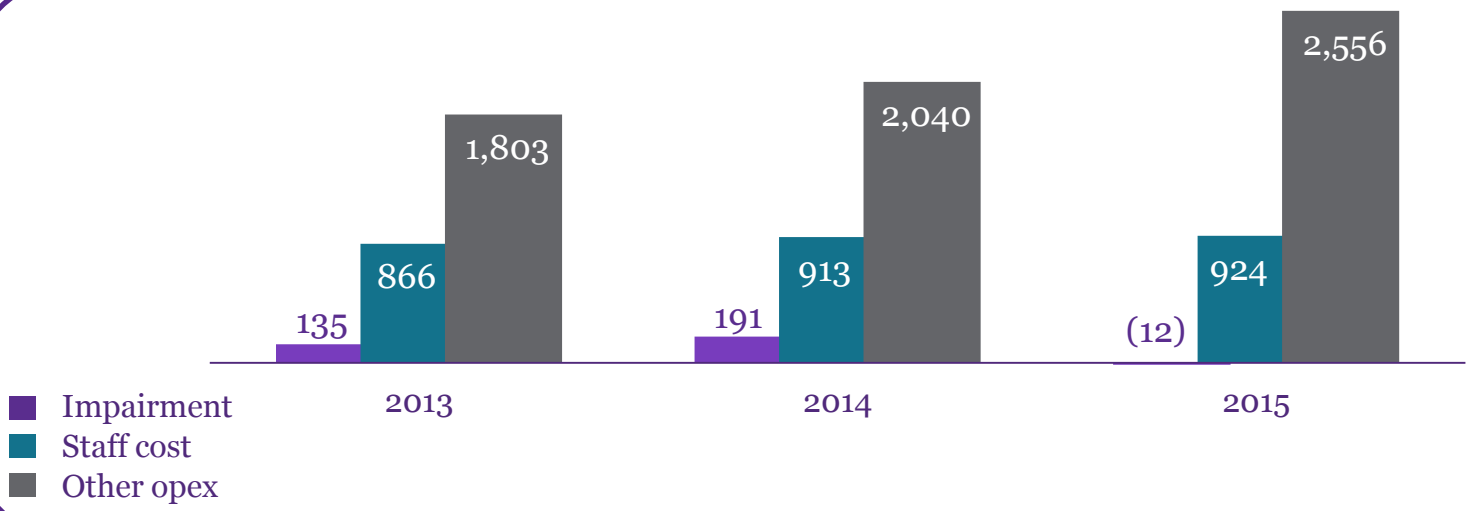
Underwriting expenses

- Net claims expense grew by 64% y/y to N1.6bn in 2015. This is largely due to an increase in gross IBNR for the period.
- Underwriting expense grew by 28% y/y in FY 2015. This is attributed to the growth in gross premium income for the period.



Operating expenses

- Other operating expense grew by 25% y/y to N2.5bn in 2015. (2014: N2.0bn). This increase aligns with our strategic focus on long term sustainable growth.
- Overall, total operating expenses increased by 13% y/y in 2015.



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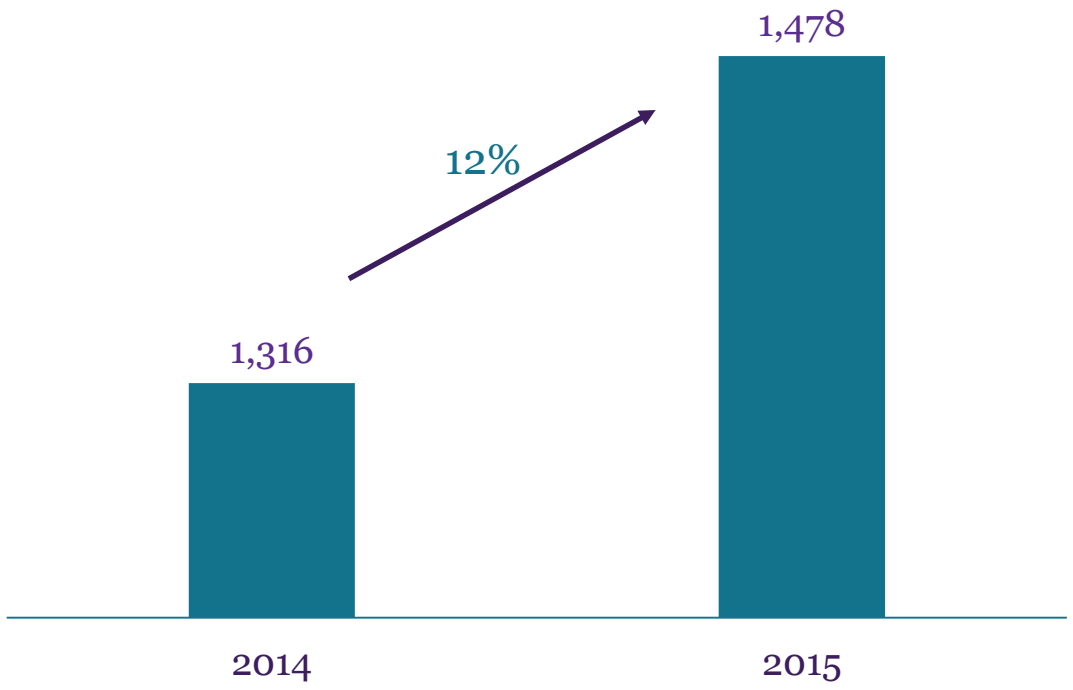
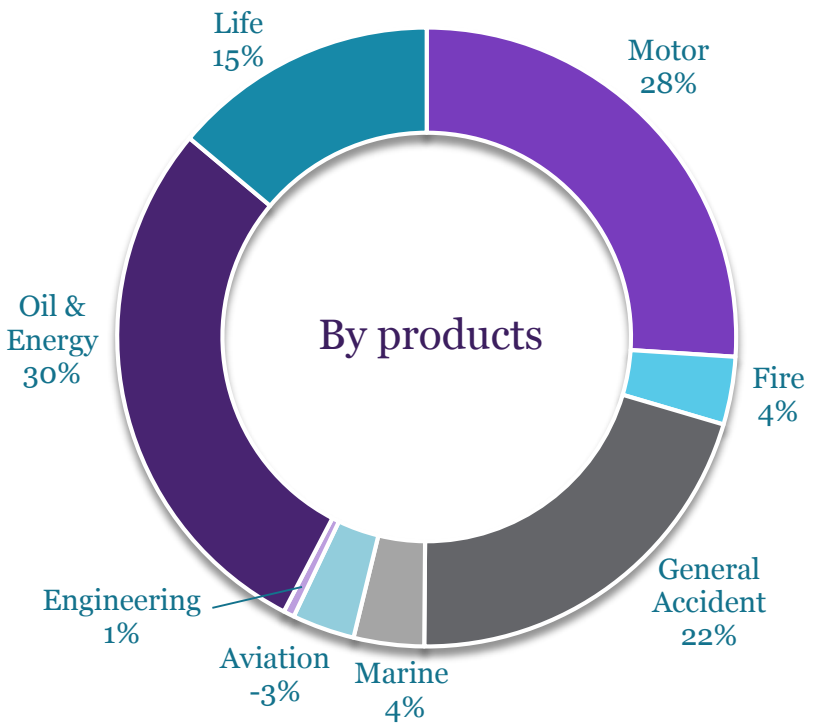
Group underwriting profit

NGN million





- The Group's underwriting profit is N1.4bn for FY 2015, representing a 12% y/y increase from the prior year. This is a testament to the Company's risk based pricing strategy.
- Oil & Energy is the Group's most profitable product for the year 2015, contributing 30% of the underwriting profit. It is followed closely by Motor Vehicle at 28%, which is an evidence of the company's product innovation in Motor insurance (MOOV).

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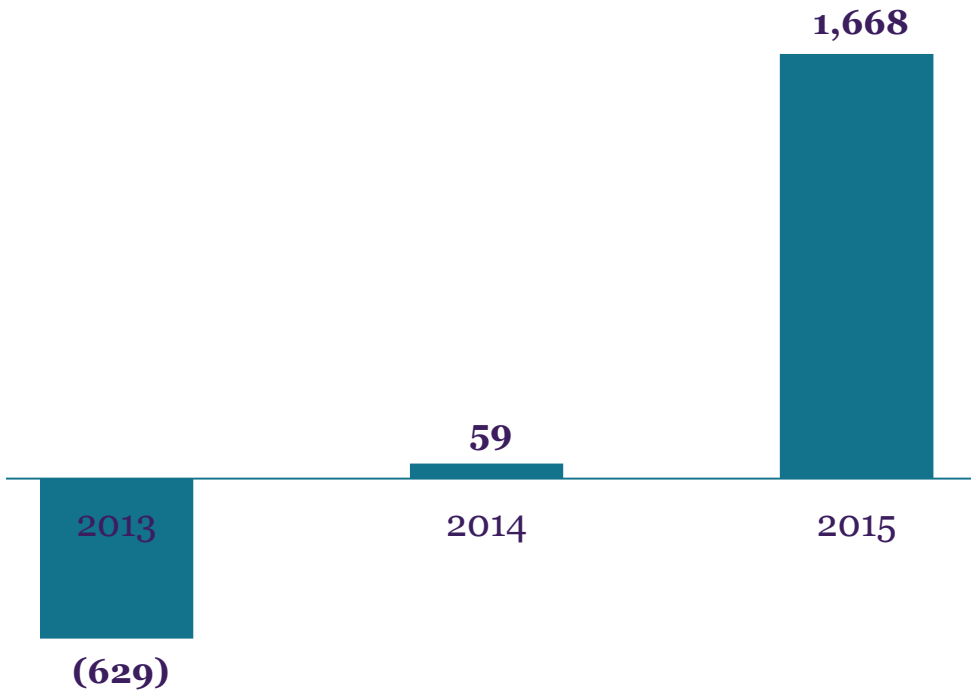
Group profit position

NGN million

Profit before tax



2015 key drivers of profitability

Sales

- The company's aggressive sales drive, innovation and strong emphasis on prioritised flagship products ensured a 36% growth in gross earnings. This is above industry growth averages.

Investment strategy

- The company seeks to achieve long term growth and maximize return opportunities from its investment portfolio mix. Returns on investment in Wapic's Associated Company, Coronation Merchant Bank Limited, significantly increased profitability.

Underwriting results

- Despite an increase in net claims, Wapic recorded a 12% increase in underwriting profit. This reflects the company's better risk selection and conservative underwriting.

- PBT increased by a superlative 2747% y/y to N1.6bn in FY 2015 (FY 2014: N59m). This improvement is in line with our growth strategy for the year.

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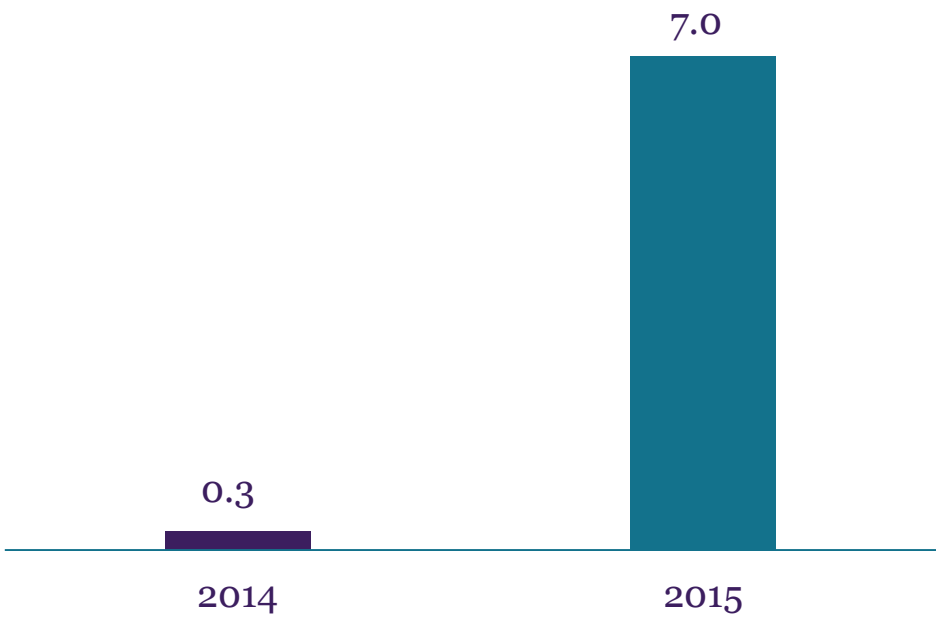
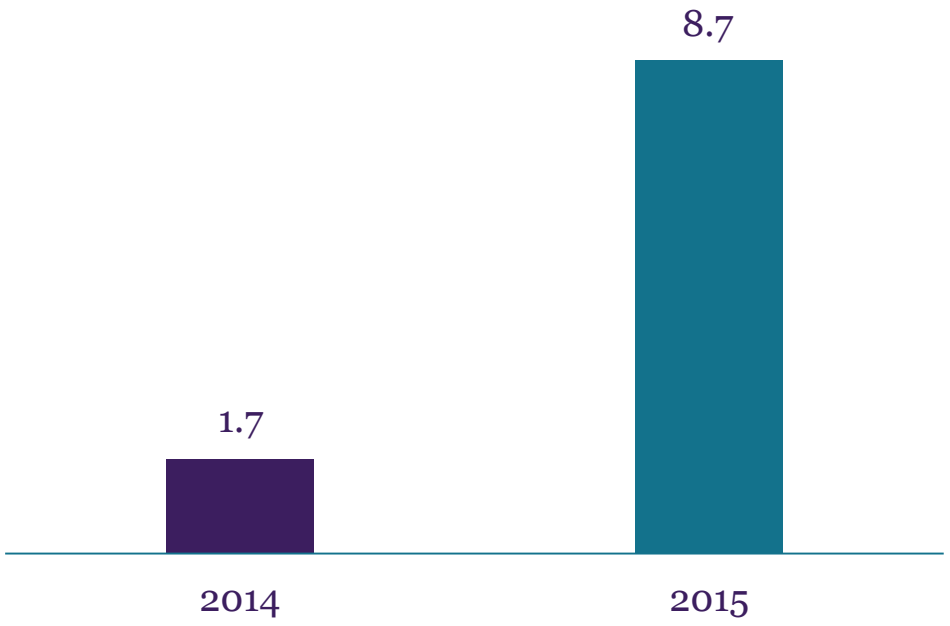
Group ROA & ROE

%

Return on total assets



Return on shareholders funds



- ROA and ROE rose to 7% and 8.7% respectively in FY 2015 (FY 2014: ROA 0.3%, ROE 1.7%), driven by a significantly improved revenue and earnings growth.

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Statement of financial position

NGN million

	2015	2014	%Δ
Cash and cash equivalents	7,054	5,173	+36
Financial assets	4,313	8,786	-51
Reinsurance assets	923	667	+38
Investment properties	675	4,056	-83
Investment in associate	5,244	-	+100
Fixed assets and intangibles	2,410	1,622	+49
Receivables	1,776	317	+460
Other assets	1,300	1,437	-10
Total assets	**23,695**	**22,058**	+7
Trade payables	210	418	-50
Provisions & other payables	2,497	2,893	-14
Current income tax liabilities	152	300	-48
Insurance contract liabilities	4,677	3,071	+52
Investment contract liabilities	1,196	1,176	+2
Total liabilities	8,732	7,858	+11
Equity	14,962	14,200	+5
Total equity & liabilities	**23,694**	**22,058**	+7

Highlights

- Financial Assets reduced by 51% due to a realignment of our portfolio to maximize returns in other asset classes.
- 100% growth in investment in Associated company, Coronation Merchant Bank Limited (CMB) . The Company increased its ownership interest in CMB during the financial year making CMB an Associated Company of the Wapic Group.
- The change in investment property position is a result of a strategic divestment from the Company's low-yielding legacy properties.
- Receivables grew by 460% y/y with trade receivables accounting for only 31% of the growth. This is due to outstanding premiums on broker-related businesses. A larger portion of the remaining 69% is accounted for by outstanding proceeds on disposal of investments.
- Trade payables reduced by 50% as a result of prompt payment of reinsurance obligations.
- Insurance contract liabilities increased by 52% due to the growth in GWP during the year.

Note

Receivables= Trade receivables (N552m)+ Other receivables & prepayment (N1225m)
Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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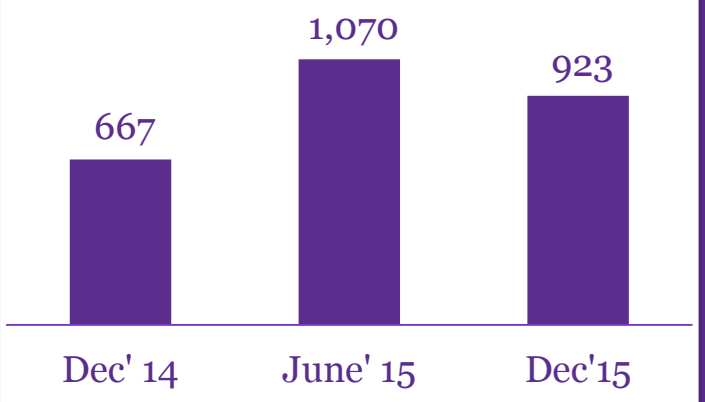
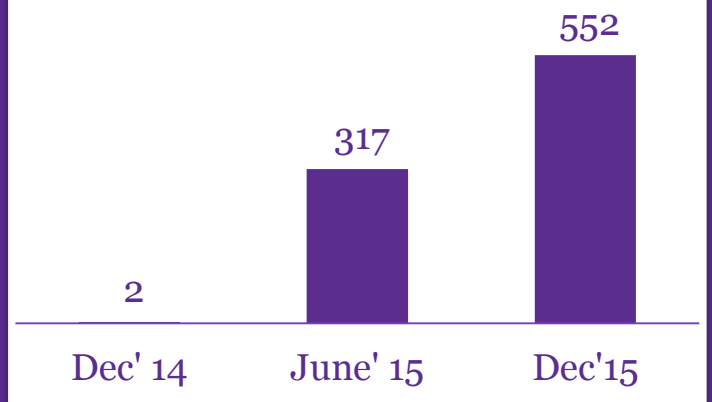
Highlights of financial position

NGN million

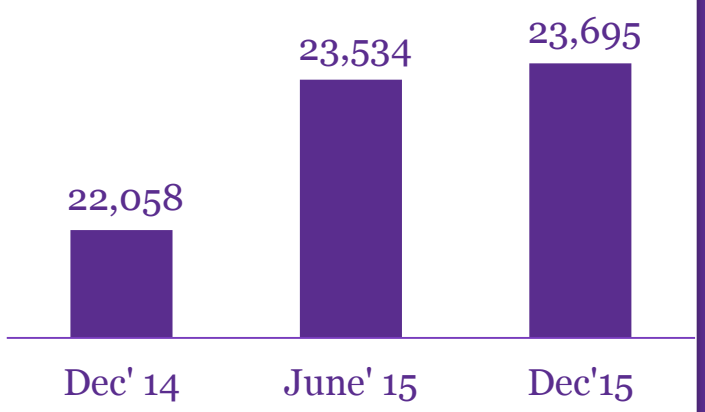
Reinsurance assets



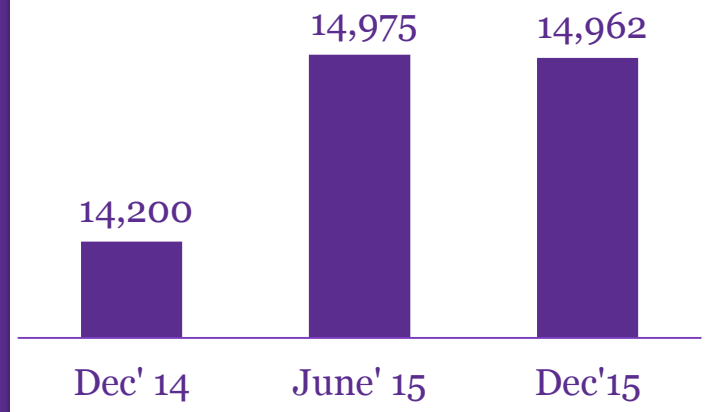
Trade receivables



Total assets



Shareholders funds



Highlights

- Reinsurance assets grew by 38% y/y to N923m in FY2015. This is as a result of an increase in prepaid reinsurance for the period, driven by the growth in gross premium written for the year.
- Total assets increased by 7% y/y to N23.6bn in FY2015.
- There is a significant y/y increase in trade receivables for FY2015 compared to FY2014, primarily driven by an increased level of transactions written for the period.
- A marginal 0.1% reduction in shareholders funds to close the year at N14.9bn as at FY2015.

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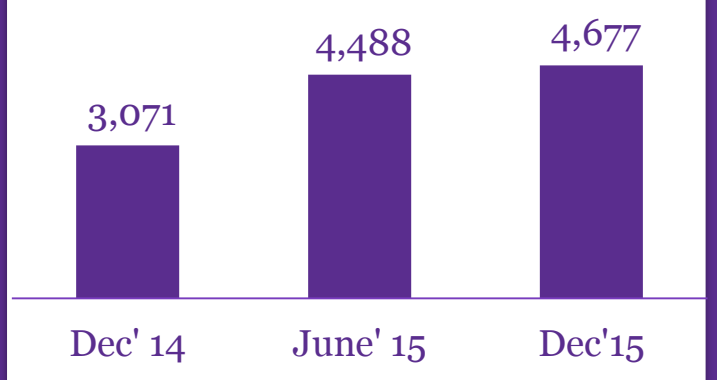
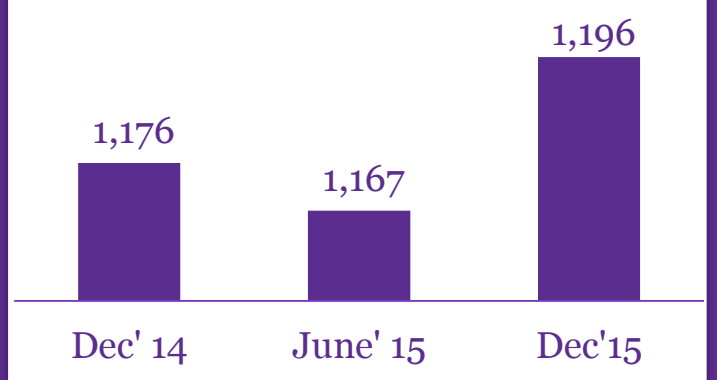
Highlights of financial position

NGN million

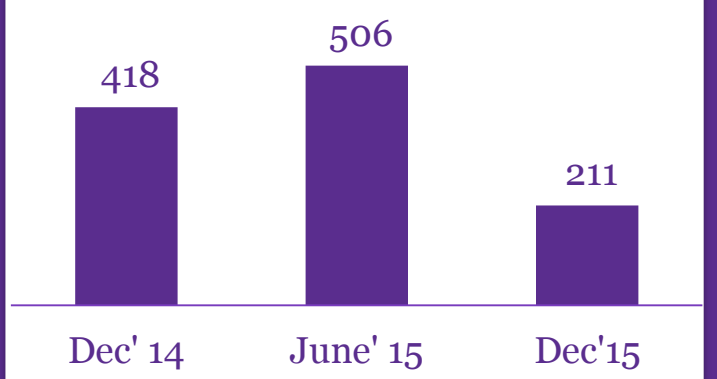
Insurance contract liabilities



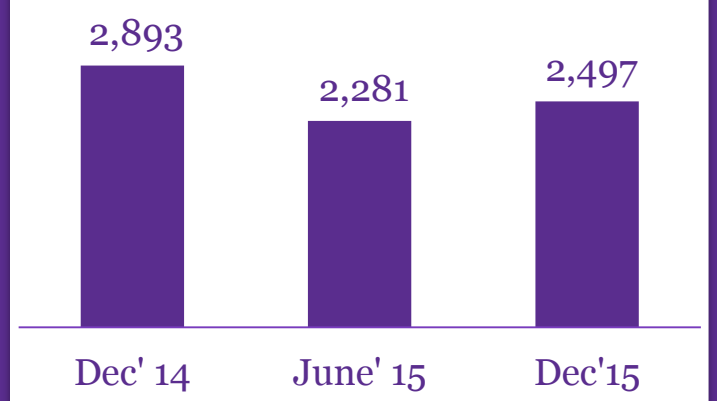
Investment contract liabilities



Trade payables



Other payables



Highlights

- Increase in Insurance contract liabilities (following a growth in gwp) is at 52% y/y at FY2015. This is driven by a rise in the components of unearned premium and IBNR for the period.
- Trade payables due to reinsurance and coinsurance decreases by 48% y/y to N211m in FY2015.
- Investment contract liabilities rose slightly to N1.1bn in FY2015, representing a 2% y/y increase from prior year.
- Provisions and other payables is at N2.4bn in FY2015 representing a 14% y/y reduction from prior year.

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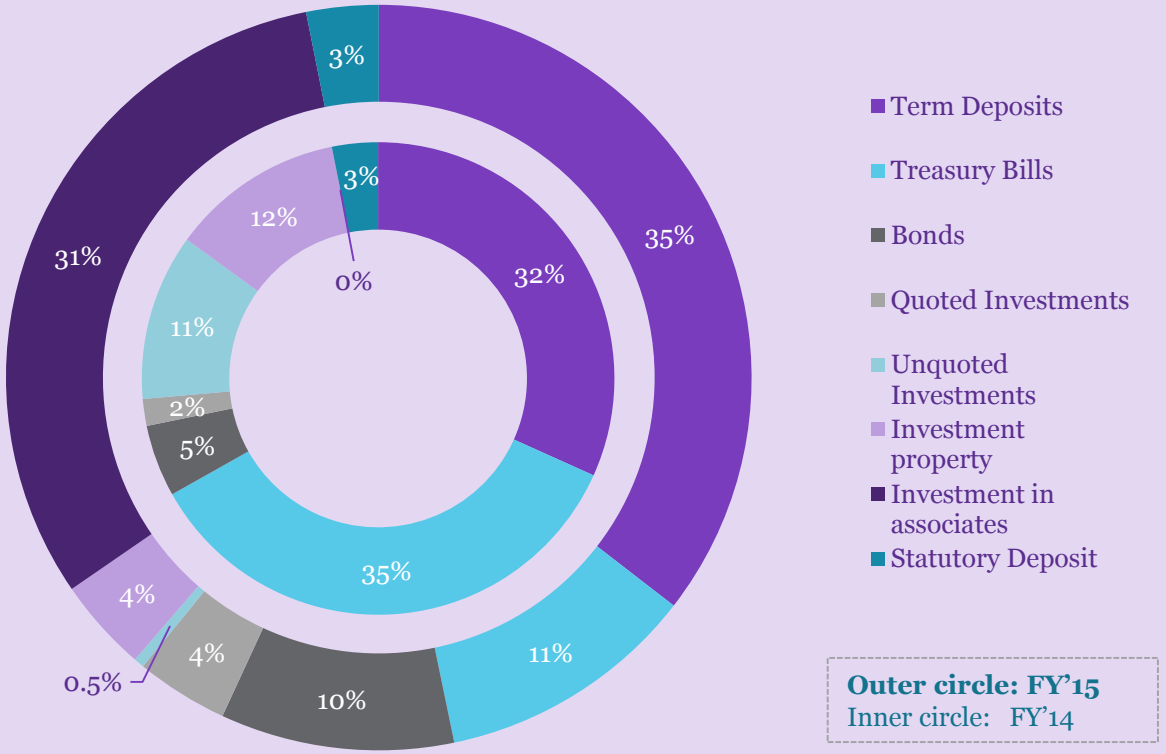
SOFP Review

Assets Under Management

Assets under management

NGN million

	2015	2014
Term Deposits	5,912	5,227
Treasury Bills	1,880	5,786
Bonds	1,689	812
Quoted Investments	668	303
Unquoted Investments	76	1,875
Investment Property	675	1,954
Investment in Associate	5,244	-
Statutory Deposit	522	518



- The decline in Treasury bills to N1,880m is due to the crash in T-bills rate and the need to avoid locking low rate in long term instruments. The strategy is to hold liquid assets to take advantage of emerging opportunities in the market.
- Unquoted investments dropped by 95% due to a reclassification of ownership interest in Coronation Merchant Bank Limited to Associated Company status following the strategic decision to deepen investment position.
- A reduction in Investment property arising from the company's strategic shift to higher yielding assets.

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2016 Outlook

How we build for the future

FINANCIAL

- We expect topline growth of 30% y/y in line with our growth projections for 2016
- The general outlook for investments is bearish across markets given uncertainties surrounding crude oil and commodities prices. However, our strategic investment and asset allocation is positioned to deliver sustainable long term growth and returns
- Continuous focus on cost optimization in order to meet the target cost-to-income ratio
- Implementation of risk-based capital management structure

OPERATIONAL

- We have enlarged our business capacity through an improved review of our reinsurance covers to accommodate more risks
- We are restructuring our Technical Unit to accommodate the expected capacity for 2016 to ensure we deliver on our promise to our customers
- Implementation of a core application that will support our business growth and enhance service delivery and overall customer experience
- Optimize company-wide processes to improve operational efficiency and service delivery

SALES

- In our drive to be omni-channel, we shall continue to solidify our direct sales business strategy, while building our Broker partnerships and digital presence
- With strategic investments in understanding our retail customers' needs, we shall be innovative in our product solutions and customer awareness initiatives
- We will intensify customer acquisition across retail channels and subsidiaries

PEOPLE

- We are committed to becoming a great place to work
- With the implementation of our Talent Optimization Framework, we expect greater role clarity for improved employee productivity
- We shall continue our investment in talent development and employee engagement

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Thank you

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Appendices

Appendix: Group historical performance

Improved historical topline growth over the past three years with 31% yoy growth in GPI for FY 2015

Ghana's contribution to the group's GPI has averaged 14% over the past 4 years.

Recovery of underwriting profit from a loss of N99m in FY2013 to N1.4bn in FY2015

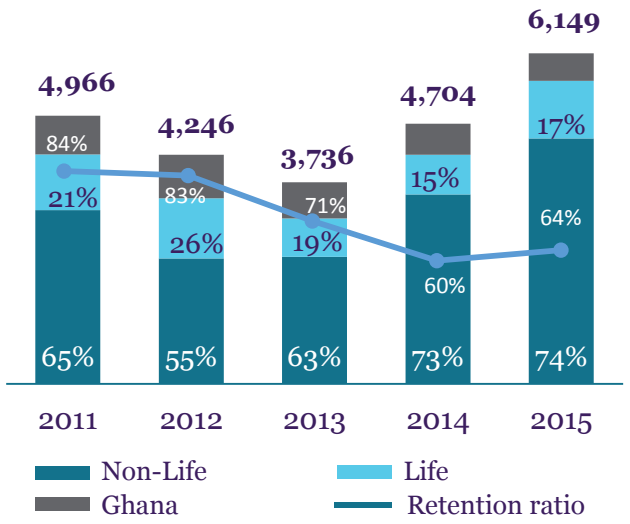
2013 performance was impacted by the strict "no premium no cover" policy.

Deliberate management effort to repay backlog of claims resulted in an exceptional loss in 2013

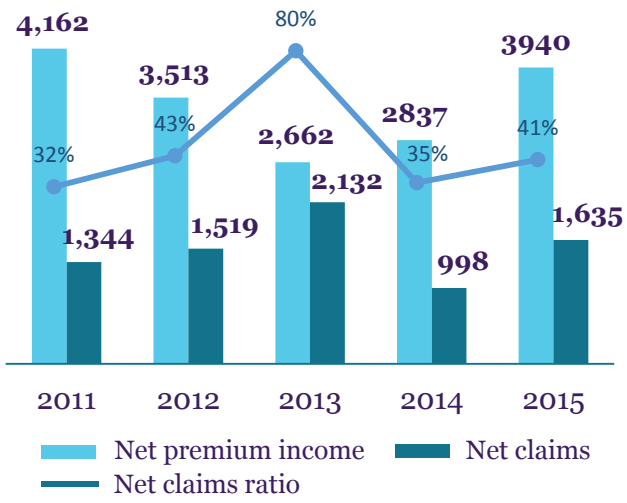
Growing long term investment strategy over the last three years.

Return on equity increased yoy by 420% in FY2015

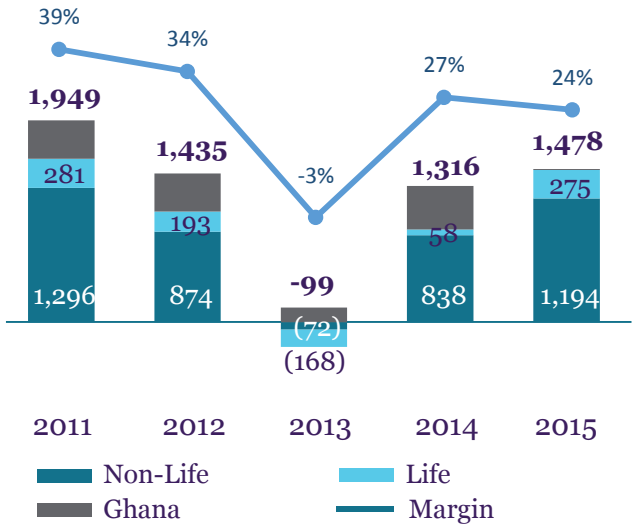
Gross premium income (N'm)



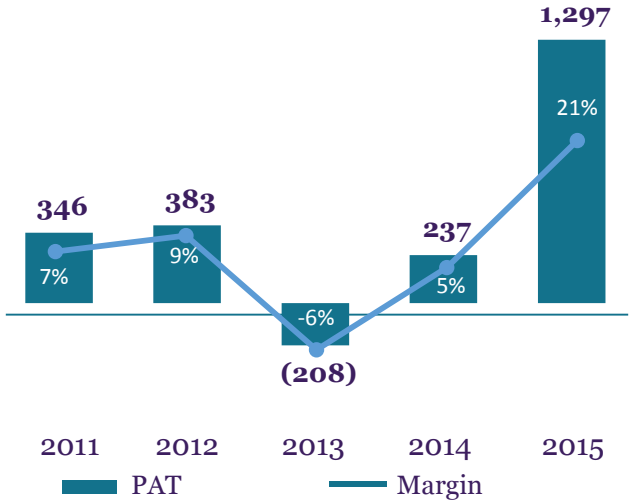
Claims trend (N'm)



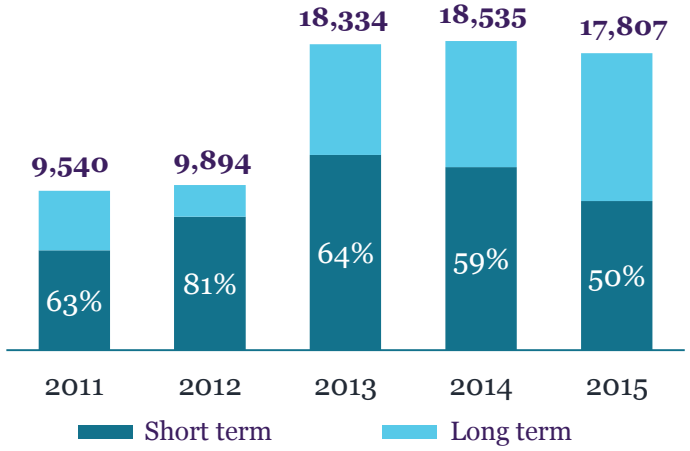
Underwriting profit (N'm)



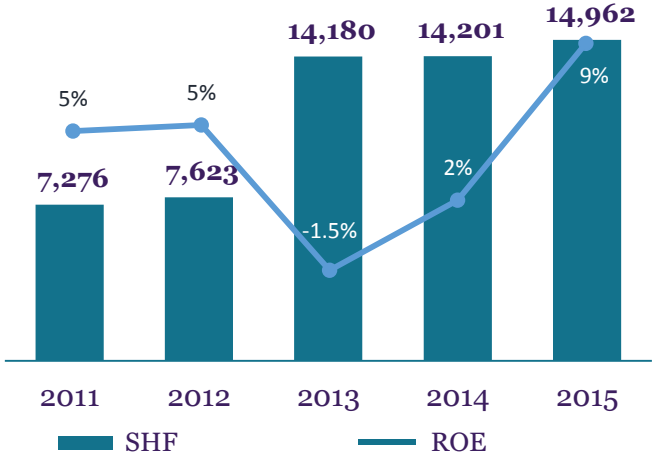
Profit after Tax (N'm)



Investment portfolio (N'm)



Shareholders funds (N'm)



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Appendix: Group growth in context

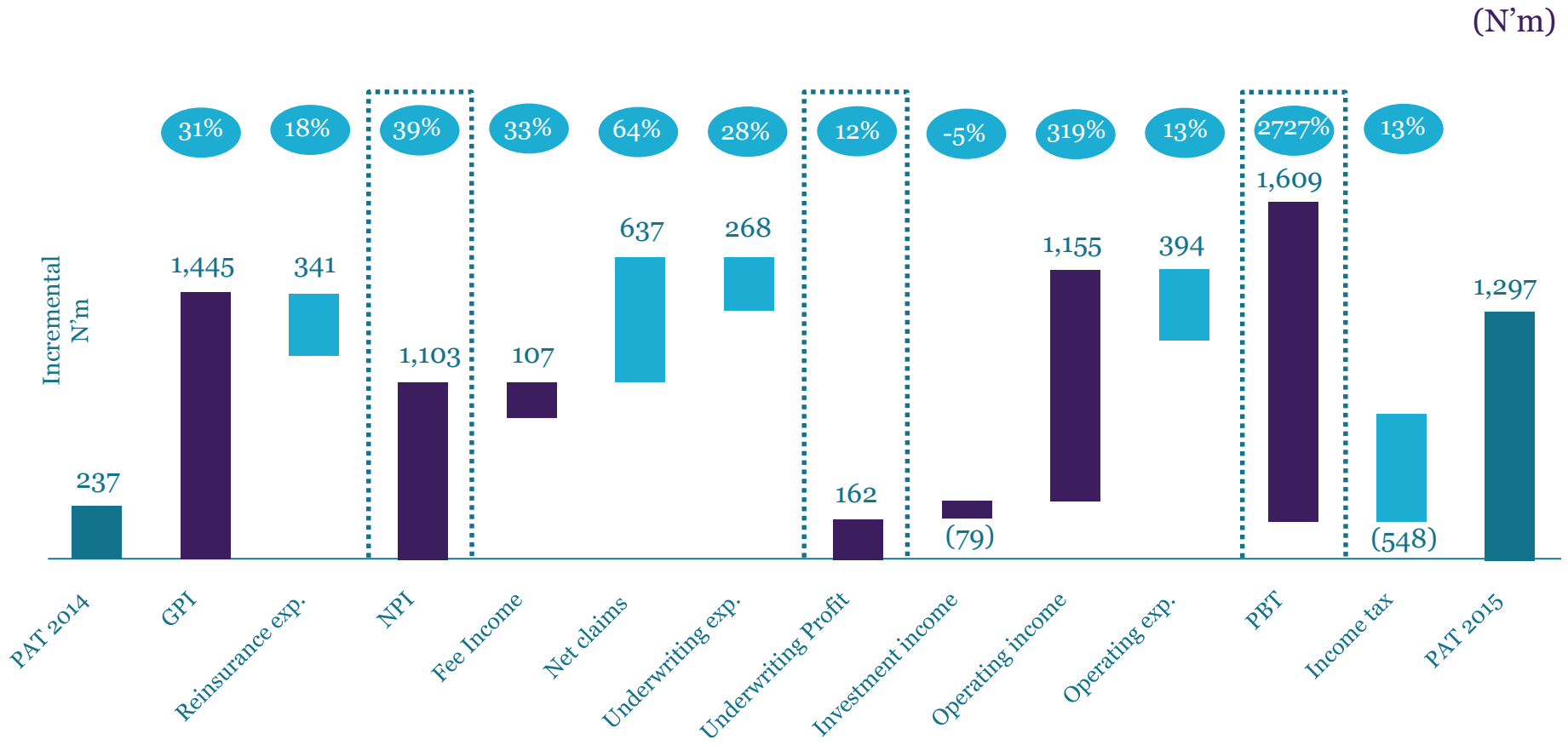
The implementation of the group's 5 year strategic plan continues to pay off as GPI grew by 31% y/y in FY 2015, ahead of the average market growth rate.

A rise in underwriting profit driven by growth in premium income.

Increase in IBNR for the period further impacts the Net claims expense position.

The growth in operating income further strengthens the bottom line position.

Tax charge for the year increased by 13% y/y to N370m in FY2015 (FY2014: -N178m)



*Operating income comprises profit on investment contracts, Net realised (loss)/gain on assets at fair value through profit and loss and other operating income.

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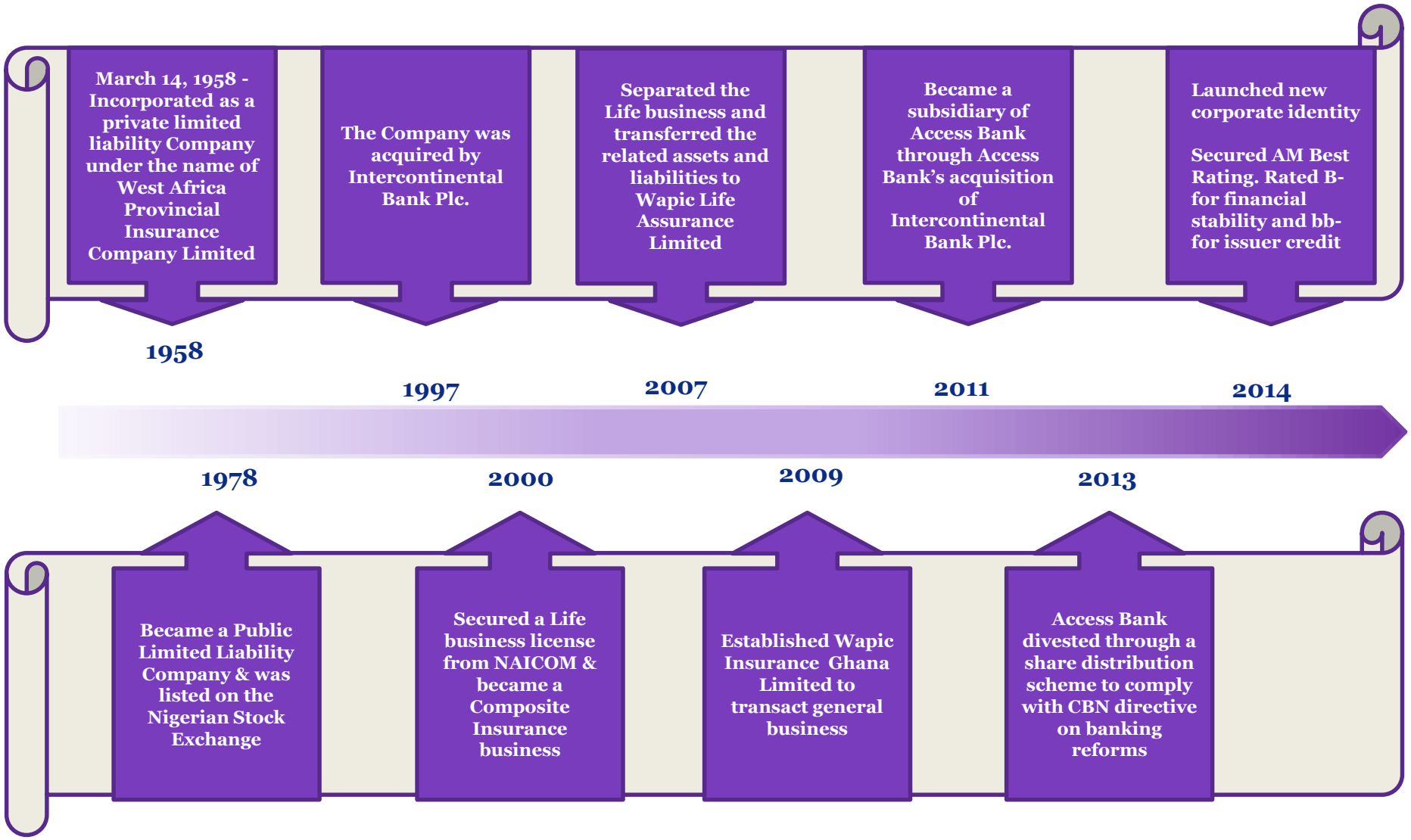

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